

PROCUREMENT CONSULTING CASE STUDY

Indirect Spend Optimisation & Supplier Rationalisation

Turning €92.5M of indirect spend into a prioritised sourcing agenda

Client Client anonymised · Data: synthetic, 13,199 PO lines / 109 suppliers / 24 months

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Four questions from the client

The client scaled fast; indirect procurement did not keep pace. Ahead of a funding round, leadership wanted demonstrable savings and a de-risked supply base.

01

Where is our indirect spend concentrated — and where is it fragmenting?

02

How much spend bypasses our contracts, and what is it costing us?

03

Which categories and suppliers are the priority savings opportunities?

04

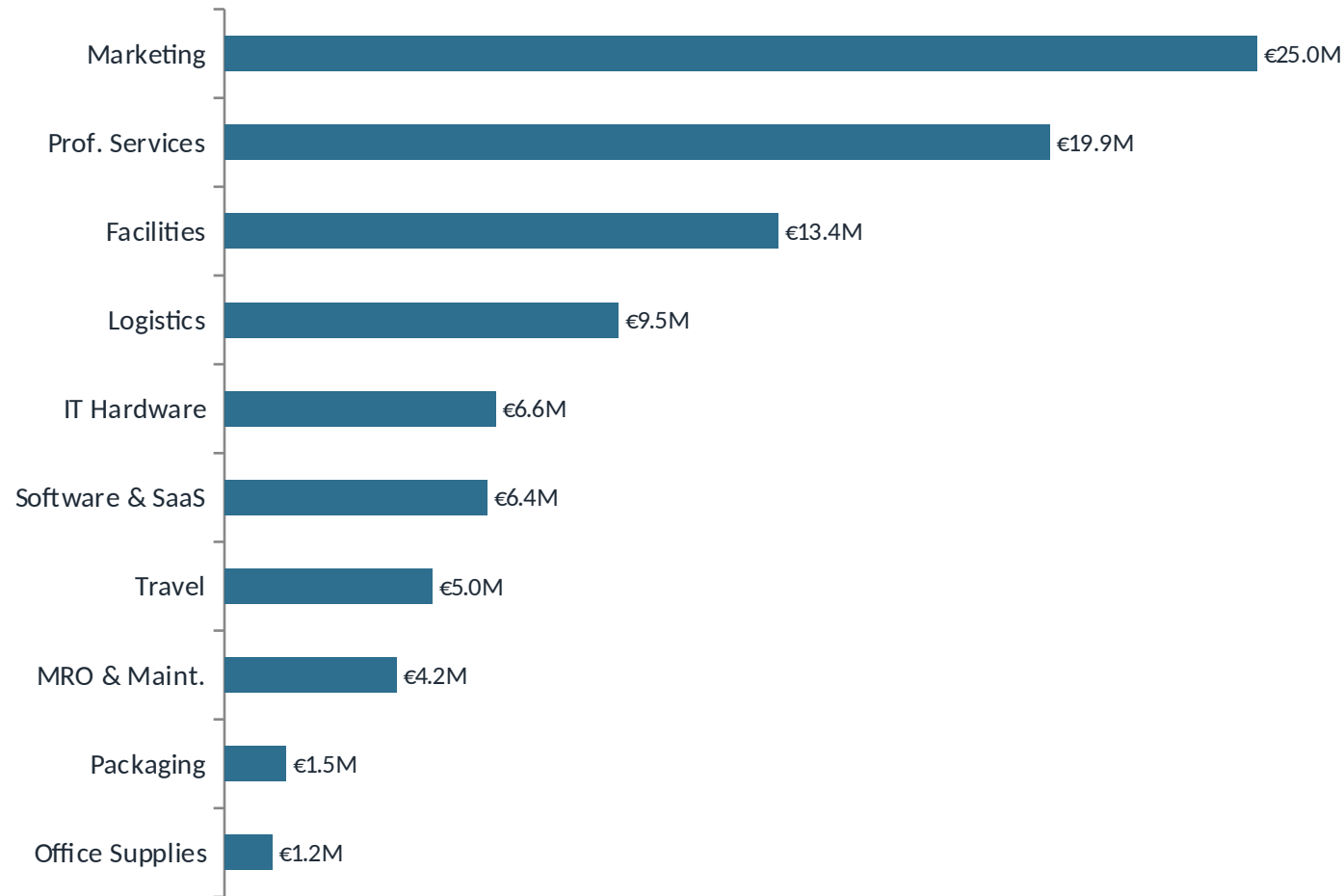
What should we do first — over the next 90 days?

A structured analytics workflow

I applied the Ask-Prepare-Process-Analyse-Share-Act framework to the client's line-item purchase-order data — a classic spend cube with a contracts table that flags off-contract buying.



Spend concentrates in three categories



~63%

of the €92.5M base sits in just three categories — Marketing, Professional Services and Facilities.

Watch the calendar

A recurring October spike (~€5.0M vs €3.4M baseline) points to year-end budget-flush — a governance flag, not just a number.

Leverage on one side, risk on the other

14

suppliers — 13% of the base — carry 80% of all spend

16%

of total spend sits with a single supplier: concentration risk

61

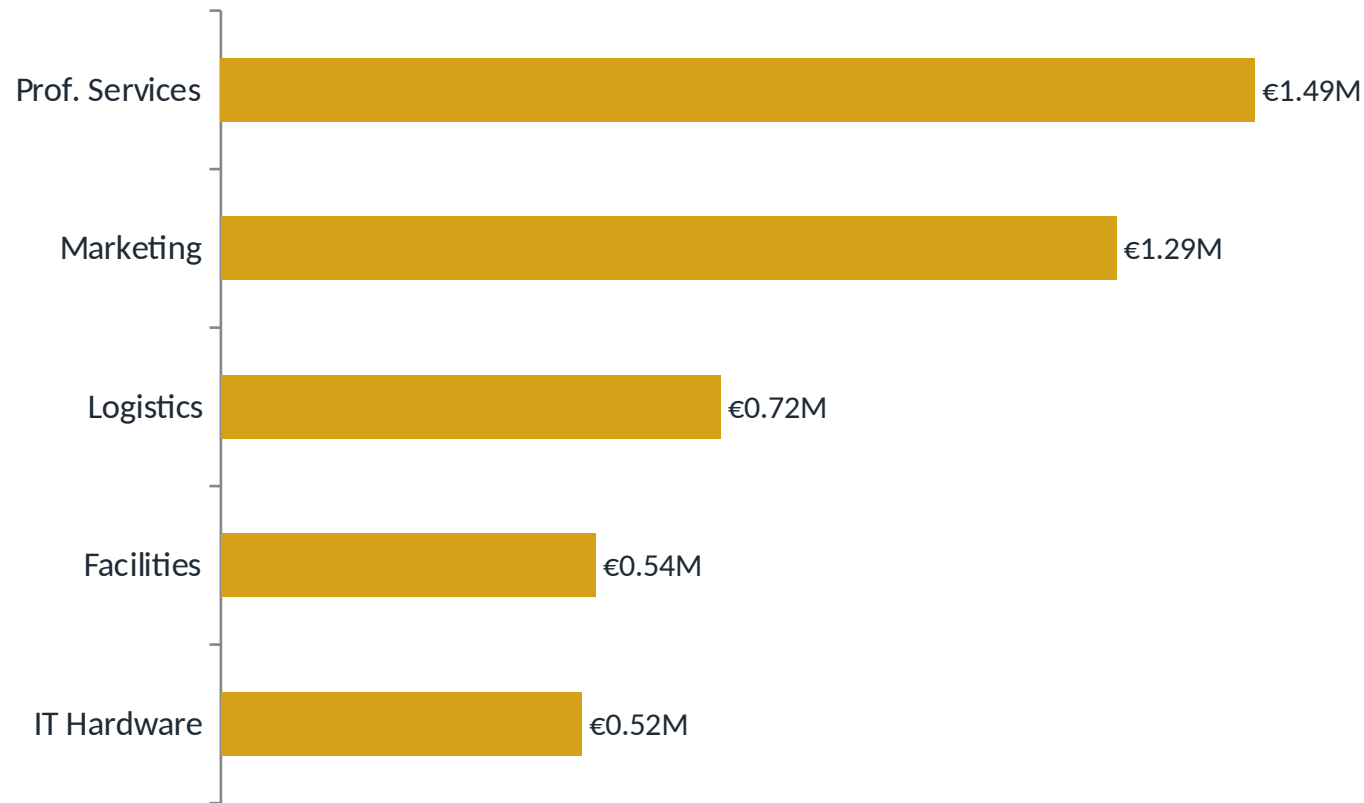
C-suppliers share under €5M — a long, costly-to-serve tail



So what? The concentrated head is negotiating leverage — but the single-supplier exposure is a funding-round risk. De-risk the top 3 with dual-sourcing while pushing the tail toward consolidation.

The biggest prize — and a reframe

€5.68M (6.1%) of spend is theoretically recoverable by repricing identical items to their best observed price. IT Hardware has the worst % spread — but the **euros live in the big categories.**



Consultant's read

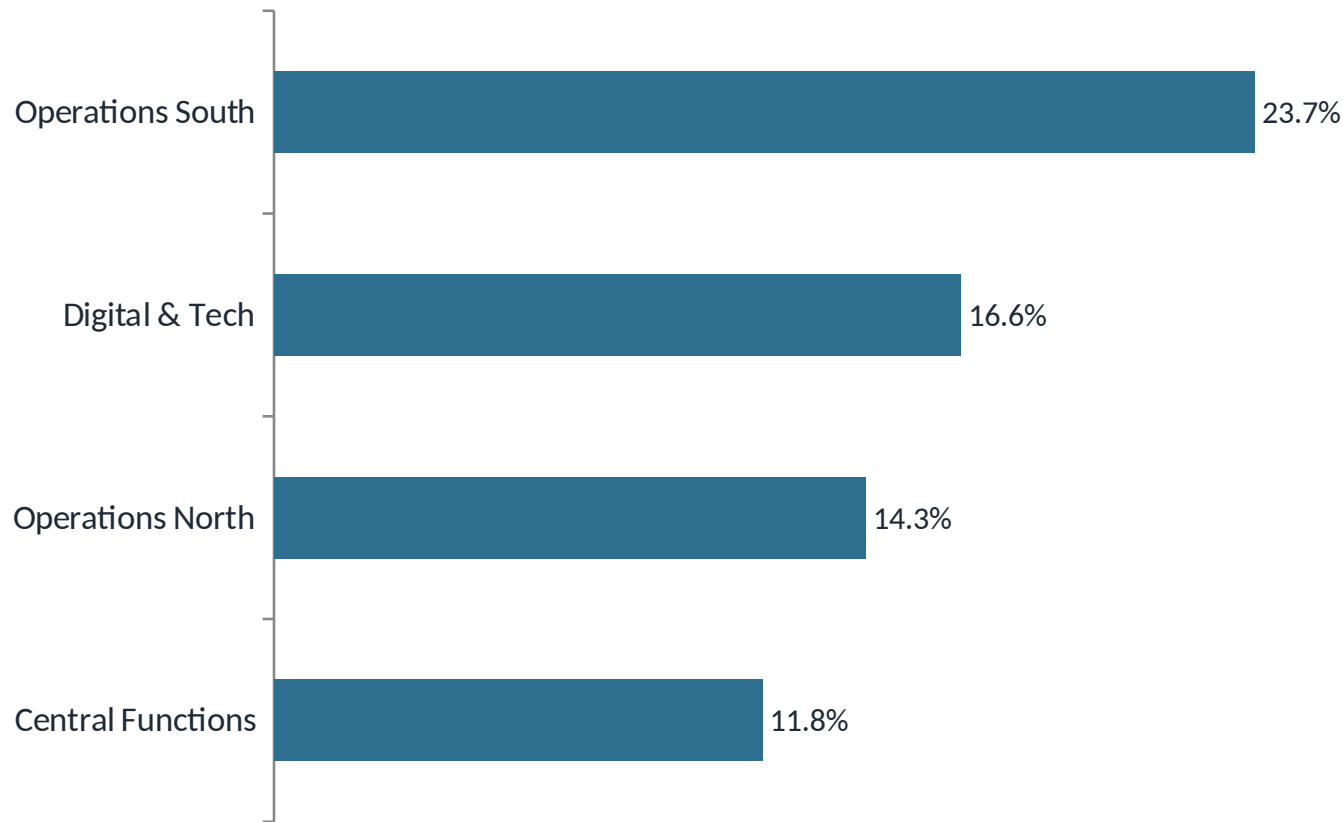
Percentage spread tells you where discipline is worst.

Absolute euros tell you where to start.

Professional Services and Marketing carry ~3× the recoverable value of IT Hardware — so the sourcing agenda leads with them.

A process problem with a name

16.5% of network spend (€15.2M) is off-contract — and it clusters. Off-contract lines carry an 8.4% price premium ≈ €1.2M of annual leakage.



23.7%

off-contract at Operations South — double the best-performing unit

The fix is process, not negotiation: catalogue coverage, approval workflows, and BU-level compliance scorecards.

From theoretical ceiling to what sourcing actually captures

~€4.0M

theoretical ceiling / yr

€1.3–1.9M

realistic annual opportunity

The gap is the point. The ceiling assumes every line hits its best-ever price and every off-contract euro is recovered. The realistic figure applies capture rates that reflect how sourcing lands.

Lever	Identified/yr	Capture	Realistic/yr
Framework agreements + catalogue enforcement	€2.28M	30–50%	€0.7–1.1M
Maverick-spend compliance (Operations South first)	€1.20M	50–60%	€0.6–0.7M
Tail consolidation (MRO, Office Supplies, Packaging)	€0.09M	~50%	€0.04M

Capture rates are stated assumptions — to be tightened with category owners before targets are set.

Three sourcing moves and one risk move

1

Framework agreements + catalogue enforcement

Lead with Professional Services and Marketing (biggest €), then IT Hardware (worst spread). Removes price variance at source.

2

Maverick-spend compliance programme

Target Operations South first: catalogue coverage, approval workflows, BU compliance scorecards. Fast payback, no negotiation.

3

Tail consolidation

Move the sub-€100k tail in MRO, Office Supplies and Packaging onto preferred suppliers. Modest savings, easy early win.

!

De-risk the top of the base

Dual-source the top 3 suppliers and build a contract-expiry pipeline — directly answers the funding-round readiness ask.

90-day roadmap

Days 0–30

Mobilise & quick wins

- Validate findings with category owners
- Consolidate Office Supplies / MRO tail
- Stand up the spend dashboard (monthly)

Days 30–60

Compliance & catalogue

- Launch maverick programme — Ops South
- Catalogue coverage + approval workflows
- BU compliance scorecards

Days 60–90

Sourcing waves

- Framework tenders: Prof. Services, IT HW
- Dual-source plan for top-3 suppliers
- Baseline savings tracking

Beyond 90

Scale & sustain

- Roll frameworks to Marketing / Facilities
- Contract-expiry pipeline
- Quarterly reviews with A-suppliers

IN SUMMARY

A €92.5M spend base, read as a sourcing agenda

€1.3–1.9M

realistic annual savings, honestly haircut
from a ~€4M ceiling

3 levers

framework agreements, maverick
compliance, tail consolidation

1 risk fix

de-risk a base where one supplier holds
16% of spend